

In addition to the above items affecting the railroad as a whole, a special study can be made of the mileage covered by the mortgage lien under consideration.¹

Elaborate Technique of Analysis Not Necessary for Selection of High-Grade Bonds. Comprehensive analyses of this kind are actually made by the investment departments of large financial institutions which purchase railroad bonds. They are, however, not only clearly beyond the competence of the individual investor, but in our opinion they are hardly consistent with the true nature of high-grade bond investment. The selection of a fixed-value security for limited-income return should be, relatively, at least, a simple operation. The investor must make certain by quantitative tests that the income has been amply above the interest charges and that the current value of the business is well in excess of its debts. In addition, he must be satisfied in his own judgment that the character of the enterprise is such as to promise continued success in the future, or more accurately speaking, to make failure a highly unlikely occurrence.

These tests and this expression of judgment should not require a highly elaborate technique of analysis. If the investor in railroad bonds must weigh such factors as a favorable trainload trend as against a poor diversification of traffic handled, he is called upon to exercise penetration and skill out of all proportion to the reward offered, *viz.*, a fixed income return of from $2\frac{3}{4}$ to $4\frac{1}{2}\%$. He would certainly be better advised to buy United States government securities, which yield a lower return but are safe beyond question, or else to let one of the large savings banks invest his money for him with the aid of its extensive statistical staff.

Recommended Procedure. The complexities associated with railroad-bond analysis have arisen naturally—but in our view, rather illogically—from the wealth of data available for study. The fact that a mass of figures is obtainable does not mean that it is necessary, or even advantageous, to

¹ Elaborate graphic portrayal of railroad mortgage liens, the specific trackage covered, etc., together with supporting data and descriptions, are provided by White and Kemble's *Atlas and Digest of Railroad Mortgages*, covering all of the railroads of major importance in the United States. More exhaustive study of the character and volume of traffic originating on and transported over particular sections of the road securing individual mortgage issues is greatly facilitated by examination of the "Freight Traffic Density Charts" and data assembled by H. H. Copeland and Son of New York City, which are distributed privately by them among a large group of investment institutions.